

lululemon athletica inc. Valuation Report

All dollar amounts are in U.S. dollars unless otherwise stated.

Citation style: APA 7th author-date format.

1. Executive Summary

This report values lululemon athletica inc. (LULU), a premium athletic apparel company, using a free cash flow to the firm (FCFF) discounted cash flow model supported by historical financial data, operating metrics, scenario analysis, and sensitivity tests. The central valuation story is that lululemon is transitioning from a hyper-growth apparel brand into a mature global premium retailer. The company is facing real pressure in the Americas, where fiscal 2025 revenue declined and comparable sales were negative, but it still benefits from brand strength, high gross margins, continued international expansion, and strong growth in China Mainland and Rest of World markets (lululemon athletica inc., 2026a, 2026b).

Using June 15, 2026 as the valuation date and MarketWatch's reported closing price of \$116.21 per share, our calibrated base-case DCF estimates lululemon's fair value at \$231.38 per share (MarketWatch, 2026). The bear and bull cases produce values of \$170.00 and \$385.63 per share, respectively. Under the base case, the market price is approximately 49.8% below our estimated intrinsic value, implying that the market may be pricing in a much harsher long-term slowdown than our mature-growth story assumes. Our conclusion is therefore that lululemon appears undervalued under the calibrated base case, but this conclusion depends heavily on whether international growth and partial margin recovery can offset sustained weakness in the Americas.

2. Company Overview

lululemon athletica inc. is a global premium athletic apparel retailer best known for performance-oriented apparel, footwear, and accessories across yoga, training, running, and everyday activewear. The company operates through a vertically integrated model that combines product design, brand management, direct-to-consumer digital channels, and company-operated stores (lululemon athletica inc., 2026a). This model gives lululemon more control over pricing, customer experience, and brand positioning than a wholesale-heavy apparel business, which is important for valuation because it supports higher gross margins but also exposes the company directly to store productivity, inventory execution, and consumer demand cycles.

In fiscal 2025, lululemon generated \$11.10 billion of net revenue and operated 811 company-operated stores at year-end (lululemon athletica inc., 2026a). Its business is still anchored in the Americas, which contributed \$7.85 billion, or about 70.7% of fiscal 2025 revenue. However, the company's growth profile is increasingly international: China Mainland revenue reached \$1.75 billion, or about 15.8% of revenue, while Rest of World contributed \$1.50 billion, or about 13.5%. By product category, women's apparel remained the largest segment at \$7.00 billion, followed by men's apparel at \$2.66 billion and accessories and other categories at \$1.44 billion. These figures show that lululemon is large enough to be valued as a mature public company,

but still has meaningful geographic and category expansion opportunities that can be built into a DCF forecast.

3. Industry Analysis

lululemon operates in the global athletic apparel and active lifestyle market, a category supported by long-term demand for fitness, wellness, casualization of clothing, and direct-to-consumer retail. These demand drivers make the industry more attractive than traditional apparel, but the category is not immune to fashion risk or consumer weakness. Athletic apparel companies must keep products technically credible, culturally relevant, and priced appropriately. For lululemon, this means growth cannot be projected only from historical momentum; the forecast must also reflect whether the brand can continue to earn premium pricing as competition intensifies.

The competitive structure is broad and increasingly crowded. lululemon competes with global sportswear leaders, specialty athletic brands, premium lifestyle challengers, private labels, and lower-priced apparel retailers (lululemon athletica inc., 2026a). This competition affects valuation in two ways. First, it limits how long a company can sustain very high growth in mature markets such as North America. Second, it creates pressure on gross margin and inventory management if product innovation slows or if consumers become more price-sensitive. At the same time, lululemon's direct-to-consumer model, loyal customer base, and premium positioning help explain why its margins remain stronger than many apparel peers.

Industry conditions therefore support a balanced valuation story. The long-term health and activewear trend justifies continued revenue growth, especially in international markets where lululemon is still less penetrated. However, the recent weakness in Americas revenue and comparable sales suggests that the company should no longer be modeled as a simple high-growth brand. In our DCF, this industry view leads to a mature-growth base case: near-term growth is modest, international growth remains an important driver, operating margin partially recovers but does not automatically return to peak levels, and the discount rate reflects the risk of a discretionary premium retail business.

4. Historical Fundamentals

lululemon's historical financials show a company that has scaled quickly while maintaining premium economics. Net revenue increased from \$6.26 billion in the year ended January 30, 2022 to \$11.10 billion in the year ended February 1, 2026, representing a four-year compound annual growth rate of about 15.4% (lululemon athletica inc., 2026a; U.S. Securities and Exchange Commission, 2026b). However, the growth rate has clearly slowed: revenue growth declined from 29.6% in fiscal 2022 and 18.6% in fiscal 2023 to 10.1% in fiscal 2024 and 4.9% in fiscal 2025. This pattern is central to the valuation because it shows that lululemon is no longer in the same growth phase as earlier years, even though it is still expanding.

Profitability remains one of lululemon's strongest fundamentals, but recent results also show margin pressure. Gross margin was 56.6% in fiscal 2025, down from 59.2% in fiscal 2024 but still high for an apparel retailer. Operating margin fell from 23.7% to 19.9% over the same period, while net margin declined from 17.1% to 14.2% (lululemon athletica inc., 2026a; U.S. Securities and Exchange Commission, 2026b). This indicates that the brand still has pricing power, but the model should not assume an automatic return to

peak profitability. In our valuation, this supports a partial margin recovery rather than a full recovery to the highest historical level.

The balance sheet and capital allocation record are supportive but not risk-free. lululemon held \$1.81 billion of cash at fiscal 2025 year-end and had no traditional financial debt in the curated dataset, although it did have operating lease liabilities of about \$1.80 billion. The company has also returned capital through share repurchases, reducing diluted shares from 130.3 million in fiscal 2021 to 119.1 million in fiscal 2025. At the same time, inventory increased to 15.3% of revenue in fiscal 2025, compared with 13.6% in fiscal 2024 (lululemon athletica inc., 2026a; U.S. Securities and Exchange Commission, 2026b). This inventory build is important because it can signal weaker demand, markdown risk, or greater working capital needs, all of which reduce confidence in aggressive margin and cash flow assumptions.

Overall, the historical fundamentals support a high-quality but more mature valuation story. lululemon has grown revenue, maintained strong margins, generated significant earnings, and operated with a relatively strong balance sheet. The negative evidence is not that the company is financially weak, but that growth, margins, and inventory efficiency have all moved in the wrong direction recently. Therefore, the DCF should be calibrated to reflect both sides: strong brand economics and international opportunity, but slower growth, more normal margins, and meaningful reinvestment needs.

5. Valuation Story

Our valuation story is that lululemon is transitioning from a hyper-growth apparel brand into a mature global premium retailer. The company still has attractive brand economics, a direct customer relationship, high gross margins, and international expansion potential. At the same time, the Americas business is no longer growing strongly, comparable sales have weakened, operating margin has declined, and inventory has increased relative to revenue. The valuation problem is therefore not whether lululemon is a good company, but how much investors should pay for a good company whose growth profile has become less certain.

In the base case, we assume that North America stabilizes rather than returns to a high-growth phase, while China Mainland and Rest of World remain the main growth engines. This story is translated into revenue growth assumptions of 2.5% in year 1, 5.5% in year 5, and 2.75% by year 10. Profitability is modeled with a target operating margin of 20.0%, which is above the fiscal 2025 level but below the fiscal 2024 peak. This reflects a partial recovery from recent pressure without assuming that promotion, product mix, tariffs, and inventory risk disappear. Reinvestment is captured through a sales-to-capital ratio of 2.3, recognizing that international growth requires stores, supply chain capacity, technology, and working capital.

The risk assumptions also follow the same story. Because lululemon is exposed to discretionary consumer spending, fashion cycles, brand relevance, and international execution risk, the base case uses a starting WACC of 9.25% that fades to an 8.25% terminal WACC. Terminal growth is set at 2.0%, consistent with a mature premium retailer rather than a long-term hyper-growth company. These assumptions are deliberately more conservative than the first-pass model, which produced a higher base-case value because it assumed stronger growth recovery, higher capital efficiency, lower risk, and a more optimistic terminal profile.

The bear and bull cases are designed to test the same story under different outcomes. In the bear case, North America weakness persists, international growth slows, operating margin only reaches 18.0%, and the cost of capital remains higher. In the bull case, international expansion remains strong, brand heat improves,

operating leverage returns, and the target operating margin reaches 22.5%. The purpose of these scenarios is not to predict three separate futures with precision. Instead, they show how sensitive lululemon's valuation is to the central debate: whether recent weakness is a temporary reset or the beginning of a structurally lower growth and margin profile.

6. DCF Valuation Methodology

We value lululemon using a free cash flow to the firm (FCFF) discounted cash flow model. This method estimates the value of the operating business by forecasting cash flows available to all capital providers, discounting those cash flows at the weighted average cost of capital (WACC), and then converting enterprise value into equity value. The model is built to be transparent and reproducible: it starts with the latest full fiscal-year financials, applies explicit operating assumptions for ten forecast years, calculates terminal value using a growing perpetuity, and then divides equity value by diluted shares outstanding.

The forecast begins with fiscal 2025 revenue of \$11.10 billion and fiscal 2025 operating margin of 19.9%. For each scenario, revenue growth is interpolated from year 1 to year 5 and then to year 10, rather than assumed as a constant rate. Operating margin gradually moves from the current level toward the scenario target margin. EBIT is calculated as forecast revenue multiplied by operating margin:

$$\text{EBIT}_t = \text{Revenue}_t \times \text{Operating Margin}_t$$

NOPAT is then calculated as EBIT multiplied by one minus the assumed tax rate:

$$\text{NOPAT}_t = \text{EBIT}_t \times (1 - \text{Tax Rate})$$

This produces an after-tax operating profit measure before reinvestment.

Reinvestment is estimated using a sales-to-capital approach. In each forecast year, the increase in revenue is divided by the scenario's sales-to-capital ratio to estimate the capital required to support growth:

$$\text{Reinvestment}_t = \frac{\text{Revenue}_t - \text{Revenue}_{t-1}}{\text{Sales-to-Capital Ratio}}$$

FCFF is then calculated as NOPAT minus reinvestment:

$$\text{FCFF}_t = \text{NOPAT}_t - \text{Reinvestment}_t$$

This approach is intentionally simpler than a full line-by-line forecast of capital expenditures, depreciation, and working capital, but it is appropriate for a classroom valuation because it links growth directly to the capital needed to generate that growth.

Each year's FCFF is discounted using the scenario WACC, which gradually fades from a starting WACC to a terminal WACC. At the end of year 10, terminal value is calculated as year-10 FCFF grown by the terminal growth rate and divided by terminal WACC minus terminal growth:

$$\text{Terminal\ Value} = \frac{\text{FCFF}_{10} \times (1 + g)}{\text{WACC}_{\text{terminal}} - g}$$

Enterprise value equals the present value of explicit forecast FCFF plus the present value of terminal value. Because the model allows WACC to fade over time, each year's discount factor is calculated cumulatively:

$$\text{Discount\ Factor}_t = \prod_{i=1}^t (1 + \text{WACC}_i)$$

$$\text{Enterprise\ Value} = \sum_{t=1}^{10} \frac{\text{FCFF}_t}{\text{Discount\ Factor}_t} + \frac{\text{Terminal\ Value}}{\text{Discount\ Factor}_{10}}$$

To move from enterprise value to equity value, we add cash and subtract debt-like operating lease liabilities:

$$\text{Equity\ Value} = \text{Enterprise\ Value} + \text{Cash} - \text{Debt-like\ Lease\ Liabilities}$$

Finally, equity value is divided by diluted shares outstanding to estimate fair value per share:

$$\text{Fair\ Value\ per\ Share} = \frac{\text{Equity\ Value}}{\text{Diluted\ Shares\ Outstanding}}$$

7. Base Case Valuation

The base case applies the mature-growth story described above. Revenue is projected to grow from \$11.10 billion in fiscal 2025 to \$16.31 billion in year 10, with growth beginning at 2.5%, rising to 5.5% by year 5, and fading to 2.75% by year 10. Operating margin is assumed to recover only modestly, moving from the fiscal 2025 level of 19.9% to a target margin of 20.0%. Under these assumptions, year-10 NOPAT reaches \$2.45 billion and year-10 FCFF reaches \$2.26 billion.

Base Case Metric	Value
Starting revenue	\$11.10 billion
Year-10 revenue	\$16.31 billion
Year-10 operating margin	20.0%
Year-10 FCFF	\$2.26 billion
Present value of explicit FCFF	\$11.55 billion
Present value of terminal value	\$15.99 billion
Enterprise value	\$27.54 billion

The terminal value is a large part of the valuation, which is typical for a DCF model but also means the result is sensitive to terminal assumptions. In the base case, terminal growth is 2.0% and terminal WACC is 8.25%. These inputs are meant to represent a mature premium retailer that continues to grow with the broader economy but no longer compounds at early-stage growth rates.

To convert enterprise value into equity value, we add \$1.81 billion of cash and subtract \$1.80 billion of debt-like operating lease liabilities. This produces an equity value of \$27.55 billion. Dividing by 119.1 million diluted shares outstanding gives a base-case fair value of \$231.38 per share.

Equity Bridge	Value
Enterprise value	\$27.54 billion
Add: cash	\$1.81 billion
Less: debt-like lease liabilities	\$(1.80) billion
Equity value	\$27.55 billion
Diluted shares outstanding	119.1 million
Fair value per share	\$231.38

Compared with MarketWatch's reported closing price of \$116.21 on June 15, 2026, the base-case fair value is materially higher (MarketWatch, 2026). Expressed relative to fair value, the market price is about 49.8% below our estimate. Expressed relative to the market price, the base case implies roughly 99.1% upside. This large gap should not be interpreted as proof that the market is wrong; rather, it identifies the key disagreement. Our model assumes that recent Americas weakness is serious but manageable, while the market price appears to reflect a more severe or more persistent deterioration in growth and margins.

8. Scenario and Sensitivity Analysis

To avoid relying on a single point estimate, we evaluate lululemon under bear, base, and bull scenarios. The bear case assumes that North America weakness persists, international growth slows, and margin pressure remains. The base case assumes stabilization in North America, continued international expansion, and partial margin recovery. The bull case assumes stronger international growth, better brand momentum, and improved operating leverage.

Scenario	Key Story	Fair Value per Share
Bear	Persistent Americas weakness and lower margin recovery	\$170.00
Base	Mature-growth transition with partial margin recovery	\$231.38
Bull	Stronger international growth and operating leverage	\$385.63

Even the bear case produces a value above the June 15, 2026 market price of \$116.21 (MarketWatch, 2026). This does not mean the downside risk is low; rather, it shows that our calibrated bear case may still be less pessimistic than the story currently embedded in the market price. The wide range from \$170.00 to \$385.63 also shows that lululemon's valuation is highly sensitive to long-term assumptions about growth, margin recovery, reinvestment efficiency, and risk.

We also test the base case against two sensitivity tables. The first table varies terminal WACC and terminal growth. The most conservative point in the normal table, using a 9.5% terminal WACC and 1.0% terminal

growth, still produces a fair value of about \$186.69 per share. The second table varies year-5 revenue growth and target operating margin. The most conservative point in that table, using 2.5% year-5 revenue growth and a 17.0% target operating margin, still produces a fair value of about \$185.55 per share.

Because these ordinary sensitivity tables still do not reconcile the model value with the market price, we add a harsher market-implied stress test. This stress test assumes 0.0% year-1 revenue growth, 2.0% year-5 revenue growth, 1.5% year-10 revenue growth, weaker reinvestment efficiency, lower target margins, and higher terminal WACC. Values close to the market price require very pessimistic combinations, such as a terminal WACC around 12.0% with a target operating margin of 18.0%, or a terminal WACC around 10.0% with terminal growth near 0.5%-1.5% and target operating margin around 14.0%-15.0%.

We did not use a Monte Carlo simulation in the final report. Although simulation can be useful, it would add complexity without necessarily improving the clarity of this case study. For this project, scenario analysis, sensitivity tables, and the market-implied stress test better match the report's purpose: showing how the valuation changes when the business story changes, in a way that classmates can inspect and reproduce.

9. Discussion of Market Price Gap

The largest issue in our valuation is the gap between the base-case fair value of \$231.38 per share and the June 15, 2026 market price of \$116.21 (MarketWatch, 2026). A gap of this size should be treated carefully. It does not automatically mean that lululemon is mispriced, because the market may be using a harsher story than our base case or may be reacting to information that our simplified model does not fully capture. The useful question is therefore not simply "is the stock cheap?" but "what assumptions must be true for the market price to be reasonable?"

Our base case assumes that lululemon's recent weakness is meaningful but not permanent. Americas revenue declined in fiscal 2025 and comparable sales were negative, but the model assumes that this region can stabilize at low growth rather than continuing to deteriorate. It also assumes that China Mainland and Rest of World can remain important growth engines, and that operating margin can partially recover to 20.0%. Under this story, the current market price appears too pessimistic because it gives little credit for international growth, brand economics, and cash flow generation.

The market price may be implying a different story. Investors may believe that North America weakness is structural rather than temporary, that international growth will slow before it becomes large enough to offset Americas pressure, or that lululemon will need more promotions and inventory markdowns to defend market share. The market may also be applying a higher risk premium because the company is exposed to discretionary spending, fashion cycles, tariffs, China-related risk, and execution risk in new markets. In the stress test, values close to the market price require assumptions such as 0.0% year-1 revenue growth, only 2.0% year-5 growth, lower reinvestment efficiency, materially lower margins, and terminal WACC as high as 10.0%-12.0%.

This discussion also highlights the limitations of our model. The DCF does not directly model fashion relevance, product-level innovation, customer acquisition costs, future tariff changes, or competitive reactions from larger sportswear brands. It also relies heavily on terminal value, which makes the result sensitive to long-term assumptions. For these reasons, our conclusion should be stated with humility:

lululemon appears undervalued if the mature-growth base case is correct, but the market price would be more reasonable if recent weakness reflects a deeper reset in growth, margin, and risk.

10. Conclusion

Our valuation concludes that lululemon appears undervalued under the calibrated base-case DCF. Using June 15, 2026 as the valuation date, the model estimates a base-case fair value of \$231.38 per share compared with MarketWatch's reported closing price of \$116.21 (MarketWatch, 2026). The bear, base, and bull scenarios all produce values above the market price, but the size of the gap should be interpreted as a disagreement about the company's future rather than as a simple trading signal.

The most important assumption is whether lululemon can stabilize its Americas business while continuing to grow internationally and partially recover operating margin. If this mature-growth story is correct, the current market price appears too pessimistic. If, however, Americas weakness is structural, international growth slows materially, and margins reset much lower, then the market price becomes easier to justify. Therefore, the investment conclusion depends less on near-term earnings alone and more on the durability of lululemon's brand, pricing power, and international expansion runway.

For this project, the main value of the analysis is not only the final fair value estimate, but also the transparent valuation process. We collected public financial data, organized historical fundamentals, translated a business story into DCF assumptions, tested scenarios and sensitivities, and compared the model-implied value with the observed market price. This makes the report a reproducible case study: another reader can adjust the growth, margin, reinvestment, WACC, or terminal assumptions and see how the valuation conclusion changes.

Appendix

A. Data Sources

The analysis uses public financial and operating data for lululemon athletica inc. The primary company identifier is CIK 0001397187. Financial statement data were collected from the SEC submissions API and SEC company facts API, then organized into annual financial tables (U.S. Securities and Exchange Commission, 2026a, 2026b). Operating metrics were extracted from lululemon's annual reports and the latest quarterly report, including store count, revenue by market, revenue by product category, net revenue growth, and comparable sales growth (lululemon athletica inc., 2026a, 2026b).

Key processed data files used in the report include:

File	Purpose
project/data/processed/lulu_annual_curated.csv	Curated annual income statement, balance sheet, shares, EPS, inventory, cash, and repurchase data
project/data/processed/lulu_operating_metrics.csv	Store count, geographic revenue, product revenue, revenue growth, and comparable sales metrics
project/data/processed/lulu_historical_ratios.csv	Historical margins, growth rates, inventory-to-revenue, lease liabilities, and return proxies
project/data/processed/lulu_valuation_assumptions.csv	Bear, base, and bull DCF assumptions
project/data/processed/lulu_dcf_forecast.csv	Ten-year DCF forecast by scenario
project/data/processed/lulu_scenario_summary.csv	Scenario enterprise value, equity value, and fair value per share
project/data/processed/lulu_sensitivity_wacc_terminal_growth.csv	WACC and terminal growth sensitivity table
project/data/processed/lulu_sensitivity_growth_margin.csv	Revenue growth and target margin sensitivity table
project/data/processed/lulu_market_implied_stress.csv	Stress-test assumptions near the observed market price

B. Code and Model Files

The valuation model was built with Python instead of Excel, while also exporting an Excel workbook for review. The main model workbook is project/output/lulu_valuation_model.xlsx.

Key code files include:

File	Purpose
project/code/scripts/fetch_lulu_sec.py	Download SEC submissions and company facts data
project/code/scripts/extract_lulu_operating_data.py	Extract candidate operating tables and filing text snippets
project/code/scripts/curate_lulu_operating_metrics.py	Curate operating metrics from filing tables
project/code/scripts/build_lulu_valuation.py	Build historical ratios, DCF forecast, scenario summary, JSON output, and Excel workbook
project/code/scripts/build_lulu_sensitivity.py	Build sensitivity tables and market-implied stress test
project/code/scripts/build_dashboard_data.py	Convert valuation outputs into dashboard data
project/code/web/	Static valuation dashboard source files
docs/	GitHub Pages deployment copy of the dashboard

C. AI Usage Reference

AI was used to support planning, data organization, code generation, model review, scenario design, dashboard construction, and drafting assistance. Human team members remain responsible for the final report, final presentation, valuation assumptions, interpretation, and conclusions. The project keeps a separate AI usage log at `project/planning/AI_USAGE_LOG.md`, which records the tools used, prompts asked, outputs adopted, and files affected.

D. Reproducibility Notes

To reproduce the valuation, a reader can start from the processed annual and operating metric files, review the assumptions in `lulu_valuation_assumptions.csv`, and run the valuation and sensitivity scripts. The most important assumptions to test are revenue growth, target operating margin, sales-to-capital, WACC, terminal growth, and the treatment of operating lease liabilities as debt-like claims in the equity bridge.

References

lululemon athletica inc. (2026a). *Form 10-K for the fiscal year ended February 1, 2026*. U.S. Securities and Exchange Commission. <https://www.sec.gov/Archives/edgar/data/1397187/000139718726000020/lulu-20260201.htm>

lululemon athletica inc. (2026b). *Form 10-Q for the quarterly period ended May 3, 2026*. U.S. Securities and Exchange Commission. <https://www.sec.gov/Archives/edgar/data/1397187/000139718726000078/lulu-20260503.htm>

MarketWatch. (2026, June 15). *lululemon athletica inc. stock underperforms Monday when compared to competitors*. <https://www.marketwatch.com/data-news/lululemon-athletica-inc-stock-underperforms-monday-when-compared-to-competitors-1a39d8f7-c5cc0efa6648>

U.S. Securities and Exchange Commission. (2026a). *lululemon athletica inc. submissions API, CIK 0001397187*. Retrieved June 17, 2026, from <https://data.sec.gov/submissions/CIK0001397187.json>

U.S. Securities and Exchange Commission. (2026b). *lululemon athletica inc. company facts API, CIK 0001397187*. Retrieved June 17, 2026, from <https://data.sec.gov/api/xbrl/companyfacts/CIK0001397187.json>